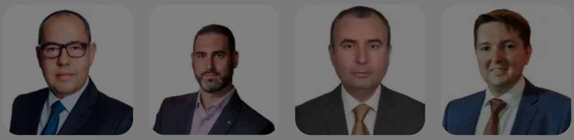
Hungary, Turkey and Kazakhstan will announce interest rate decisions next week, while Poland releases industrial output, labour market and retail sales data



Adam Antoniak, Peter Virovacz, Muhammet Mercan and Dmitry D

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F data in focus

September industrial output and labour market data will be released on Tuesday. Although the European and German economies show signs of recovery, Polish manufacturing remains fragile and uneven. Some sectors, including electrical equipment, machinery and equipment, and other transport equipment, are performing relatively well. Others, such as textiles, furniture and the automotive industry, continue to struggle. With the calendar effect neutral (the number of working days is the same as a year earlier) and a high comparison base, we forecast low single-digit growth in industrial production in September. At the same time, we expect PPI inflation to accelerate further, driven mainly by higher crude oil refining costs.

Poland's labour market remains stable. It is no longer exceptionally tight, nor showing signs of weakening. Wage growth in the enterprise sector has moderated and is stabilising at around 6.0%, no longer exerting significant pressure on price growth. Employment continues to decline amid an ageing population and an insufficient inflow of younger workers to replace those retiring, particularly in manufacturing. Enterprise-sector data do not capture the employment of immigrant workers.

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policy and risk sentiment. In practice, however, it is difficult to assess these factors in the run-up to the October rate-setting meeting on Tuesday. Although inflation figures were dovish, market volatility in relation to geopolitical developments remains high. With no clear de-escalation in sight, risk sentiment won't allow the NBH to cut rates now.

Regarding fiscal policy, although the central bank is aware of the 2027 budget, as the NBH governor sits on the Fiscal Council that reviews and approves it, no public information will be available on this. Therefore, we do not believe this will provide an opportunity for immediate monetary policy easing. Given the timing, we anticipate another on-hold meeting. However, if the fiscal situation were to materially reduce the country-specific risk premium, we wouldn't rule out the possibility of a rate cut in November. Nevertheless, the Monetary Council won't commit to this just yet.

Turkey: Central bank expected to cut rates by 100bp

Thursday brings Turkey's October interest rate decision. Recent inflation data has boosted the likelihood of a rate cut.

In addition, investment fund volatility is likely to increase downside ri

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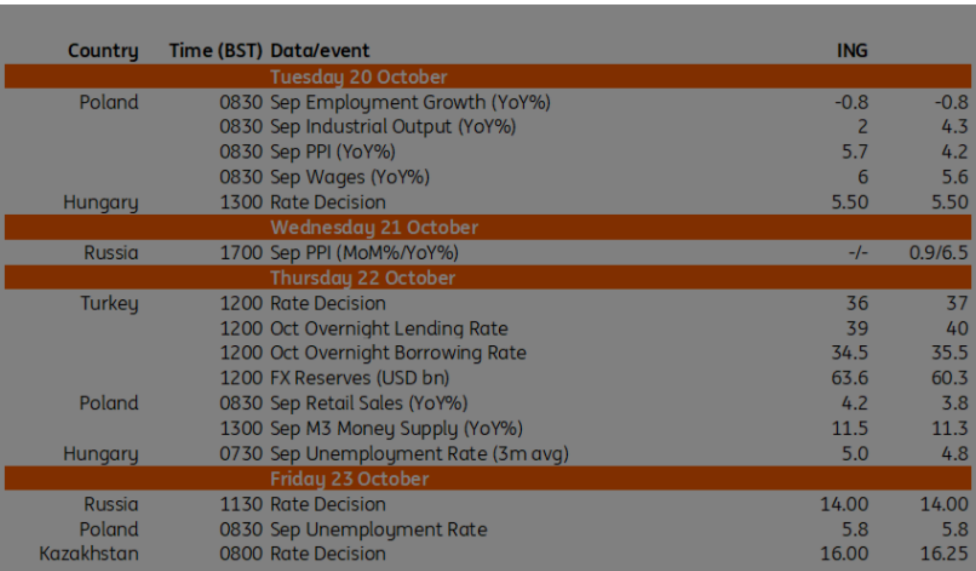
in CPI was overwhelmingly food-driven, while a renewed acceleration in overall inflation, taking it further away from the 5% long-term target, remains a risk. Importantly, the global backdrop of rising core rates also argues for keeping real rates high.

Regardless of the decision, we believe the scope for policy easing at this point is limited.

Key events in CEE & CCA next week



Country	Time (BST)	Data/event	ING	
		Tuesday 20 October		
Poland	0830	Sep Employment Growth (YoY%)	-0.8	-0.8
	0830	Sep Industrial Output (YoY%)	2	4.3
	0830	Sep PPI (YoY%)	5.7	4.2
	0830	Sep Wages (YoY%)	6	5.6
Hungary	1300	Rate Decision	5.50	5.50
		Wednesday 21 October		
Russia	1700	Sep PPI (MoM%/YoY%)	-/-	0.9/6.5
		Thursday 22 October		
Turkey	1200	Rate Decision	36	37
	1200	Oct Overnight Lending Rate	39	40
	1200	Oct Overnight Borrowing Rate	34.5	35.5
	1200	FX Reserves (USD bn)	63.6	60.3
Poland	0830	Sep Retail Sales (YoY%)	4.2	3.8
	1300	Sep M3 Money Supply (YoY%)	11.5	11.3
Hungary	0730	Sep Unemployment Rate (3m avg)	5.0	4.8
		Friday 23 October		
Russia	1130	Rate Decision	14.00	14.00
Poland	0830	Sep Unemployment Rate	5.8	5.8
Kazakhstan	0800	Rate Decision	16.00	16.25

Source: Refinitiv, ING

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